

Rossell Techsys Ltd

NSE: ROSSTECH | BSE: 544294

STRUCTURAL GROWTH

Report date: 12 July 2026

Company Summary

Rossell Techsys Limited is the aerospace & defence electronics division demerged from Rossell India Limited, incorporated 2020 and listed on the BSE (544294) and NSE (ROSSTECH) in December 2024. The company delivers Electrical Wiring Interconnect Systems (EWIS), electrical panel assemblies, electronic systems integration, automatic test equipment, and (newly) MRO services to global aerospace, defence, space, and semiconductor OEMs, manufacturing from Bengaluru, India and a subsidiary (Rossell Techsys Inc./RTI) in Tempe, Arizona, USA. FY26 revenue was ₹485 crore (+87% YoY). Market capitalization is approximately ₹3,816 crore as of 12 July 2026 (price ₹1,012).

MARKET CAP

₹3,816 Cr

PRICE

₹1,012

52-WEEK RANGE

₹455.00 – ₹1,122.00

SECTOR

**Industrials –
Aerospace &
Defence**

Value Chain Positioning

Upstream, Rossell buys electrical/electronic components, connectors, cable, and raw materials — a meaningful share imported. Midstream, it is a Tier 1/Tier 2 build-to-print/build-to-specification manufacturer of EWIS, panel assemblies, electronic sub-assemblies and (from FY26) MRO, newly entering semiconductor-equipment harnesses and space-program interconnects. Downstream, it sells directly to global OEMs — Boeing (T-7A and multiple legacy platforms), Amazon (space), Honeywell, BAE Systems, and Tata Lockheed Martin Aerostructures among named customers. End markets are ~99% export (~80% North America), spanning military aerospace, space, semiconductor-equipment manufacturing, and (targeted) commercial aerospace and India domestic defence.

UPSTREAM

Electrical/electronic components, connectors, cable — a meaningful share imported



THE COMPANY — ROSSSELL TECHSYS LTD

EWIS, panel assemblies, electronic systems integration, ATE, and (new) MRO for aerospace/defence/space/semiconductor OEMs



DOWNSTREAM CUSTOMERS

Boeing, Amazon (space), Honeywell, BAE Systems, Tata Lockheed Martin Aerostructures; emerging India defence/semiconductor customers



END MARKET

Military aerospace/defence, space, semiconductor-equipment manufacturing; ~99% export (~80% North America); targeted: commercial aerospace, India domestic defence

Situation Classification

Structural growth, early in its listed life, with real execution risk alongside it. Rossell just delivered 87% revenue growth with EBITDA up 73% and PBT up 165%, driven by qualification-to-volume ramps in two brand-new segments (space, semiconductors) and a landmark Boeing T-7A win. Weighing against this: under two years of listed history, one Boeing program explicitly discussed as loss-making in its current phase, short-term borrowings growing faster than revenue, and a QIP central to the growth plan still pending as of the Q4 FY26 call.

Near Term (Next 1 to 2 Quarters)

- **Boeing Loss-Making Program Execution Tail [Pending]:** an analyst's "loss-making Boeing order" characterization was not disputed by management; ~₹75cr executed in FY26, ~₹70cr remaining in FY27. "We did approximately INR75 crores this year on that program and we're left with another INR70 crores for this financial year."
- **Space & Semiconductor Ramp (300–400% Growth) [Pending]:** "We're looking at close to a 300% to 400% growth on our revenue from the previous year for both semiconductors and space."
- **New Facility Commissioning (~2.1 lakh sqft) [Pending]:** additional leased Bengaluru facility for space/semiconductor programs, targeted ready within ~3 months of the 12 May 2026 call.

Medium Term (6 to 12 Months)

- **FY27 Revenue Growth Guidance (~80–90%) [Pending]:** "We're targeting the same kind of growth this year as well on our revenue moving forward."
- **EBITDA Margin Recovery to 17–22% [Pending]:** "Margins definitely will get better moving forward. I've always said the margins will be between 17% to 22%."
- **QIP Fundraise (~7–10% of market cap) [Pending]:** for capacity expansion, operational infrastructure, and working capital; not yet completed as of the call.
- **Boeing T-7A Program Ramp-Up [On Track]:** ~USD200mn strategic agreement, ramp expected later part of FY27, multi-year growth to follow.

Long Term (1+ Years)

- **Commercial Aerospace Entry** [Pending]: shortlisted by a commercial OEM building an India supply base; RFPs expected ~Q2 FY27.
- **Phase-Two Move Up the Value Chain (~2028-29)** [Pending]: electromechanical integrated systems and assemblies, margin potential framed at 21–30% vs. today's 17–22%.
- **MRO as a New, Higher-Margin Stream** [Pending]: DPL license and AS9110 MRO certification in place; management declined to size a TAM, calling it early-stage.

Marquee & Niche Customers

- **Boeing**: T-7A Red Hawk (~USD200mn strategic agreement) plus F/A-18, F-15, CH-47, V-22, AH-64, P-8, KC-46, F-16, C-130J, Arrowhead; Boeing Supplier of the Year (2015, 2019), Gold Rating in Boeing's only ITAR audit conducted.
- **Amazon**: named space-segment customer — company clarified it works with Amazon, not Blue Origin, for space/satellite requirements.
- **Honeywell**: Honeywell Supplier Excellence Award (2023).
- **BAE Systems**: Special Recognition Award (2025).
- **Tata Lockheed Martin Aerostructures Limited**: named domestic aerospace partner (2021 award).
- **Lockheed Martin**: “Outstanding Supplier Recognition” at the 10th Lockheed Martin Suppliers Conference, Bengaluru, Dec 2024 — a separate, direct recognition from the Tata Lockheed Martin Aerostructures JV award above.
- 30+ customers across 8 countries, ~99% export revenue. No top-customer concentration % disclosed, though Boeing is evidently a large share of the book.

Noteworthy external signal (LinkedIn/news, not in formal filings): PM Narendra Modi inaugurated the Boeing India Engineering & Technology Center (BIETC) campus in Bengaluru — Boeing's largest investment outside the USA — with Rossell Techsys featured as a participant, reinforcing the depth of the Boeing relationship. A check of export-shipment-data aggregators (Volza, Seair, ImportGenius, Zauba) did not surface Rossell-specific shipment records via general web search this run — these platforms typically need a direct, authenticated search, not a general search-engine query.

Capex, Milestones & Certifications Timeline

2015–2025	Boeing/Honeywell/BAE/Tata Lockheed Martin awards, 40-process certifications <i>Achieved</i>
FY26	DPL license + AS9110 MRO certification obtained <i>Achieved</i>
FY26	Landmark multi-year space contract secured (~₹400cr) <i>Achieved</i>
Dec 2024	Lockheed Martin “Outstanding Supplier Recognition,” 10th Suppliers Conference, Bengaluru <i>Achieved</i>
Dec 2024	Listed on NSE/BSE following demerger from Rossell India Ltd <i>Achieved</i>
6 May 2026	New overseas defence order secured (wire harness manufacturing), 8-12 month execution <i>Achieved</i>
~Aug 2026	Additional ~2,10,000 sqft leased facility operational (space/semiconductor), ~₹30cr investment <i>Planned</i>
Q2 FY27	Commercial aerospace RFPs expected <i>Planned</i>
FY27 (later part)	Boeing T-7A program ramp-up <i>Planned</i>
FY27	QIP fundraise (~7-10% of market cap) <i>Planned</i>
~2028-2029	Phase-two: electromechanical integrated systems and assemblies <i>Planned</i>

Financial Performance Summary

FY	Revenue (₹cr)	YoY %	EBITDA (₹cr)	EBITDA Margin %	PBT (₹cr)	PAT (₹cr)	PAT Margin %	EPS (₹)
FY24 (restated)	217.0	—	n/a	n/a	n/a	n/a	n/a	n/a
FY25	259.4	+19.5%	38.4	14.8%	10.7	7.4	2.9%	1.96
FY26	485.2	+87.1%	66.6	13.7%	28.5 (27.5 net)	20.7	4.3%	5.50

FY24's EBITDA/PBT/PAT breakdown was shown only as scrambled chart labels in the source PDF, not a clean table — reported as revenue only rather than guessing the split. Despite 87% revenue growth, EBITDA margin compressed slightly (14.8%→13.7%) as the company front-loaded investment in people, qualification, and new-market entry — management's own explanation. PAT margin nonetheless improved (2.9%→4.3%).

Balance Sheet Anomaly Check

Item	Mar-25 (₹cr)	Mar-26 (₹cr)	YoY Change
Trade Receivables	73.1	116.5	+59%

Item	Mar-25 (₹cr)	Mar-26 (₹cr)	YoY Change
Inventories	216.9	313.8	+45%
Short-term Borrowings	240.3	409.4	+70%
Cash & Equivalents	1.8	46.6	+2,522%

Revenue growth (+87%) outpaced both receivables and inventory growth, so neither is itself an anomaly. Short-term borrowings grew nearly as fast as revenue in absolute terms and represent a large, rising base (+70%) — consistent with management's own framing that debt has risen to fund working capital ahead of the still-pending QIP. Carried through to Key Risks below.

Order Book

As-of Date	Order Book (₹cr)	Basis	Composition	Source
31 Mar 2026	715	Confirmed POs (standalone)	~50% aerospace & defence / ~50% non-aerospace & defence	Q4 FY26 concall
31 Mar 2026	3,000+	Strategic agreements (multi-year, additive to ₹715cr)	More weighted to aerospace & defence	Q4 FY26 concall

FY26 order inflow (new orders received) was ~₹570cr; bids submitted during the year totalled ~₹4,500cr — both distinct from the order-book level shown above.

Manufacturing Locations & Physical Assets

- **Unit 1A & 1B, Bengaluru, India** — combined ~2,55,000 sqft, ~1,196 employees; primary EWIS/panel/electronics/test site.
- **Rossell Techsys Inc. (RTI), Tempe, Arizona, USA** — ~4,100 sqft, ~5 employees; US subsidiary and global growth pillar.
- **New leased facility, Bengaluru** — additional ~2,10,000 sqft, targeted operational within ~3 months of the 12 May 2026 call, for space/semiconductor programs.
- Capabilities on-site: design engineering, manufacturing, testing, qualification, certification.
- No other manufacturing sites disclosed in the sources reviewed.

Raw Material Import Dependency

No clean indigenous-vs-imported raw-material % table was found in the FY24-25 annual report (the most recent one accessible this run). Its Foreign Exchange Earnings and Outgo note shows FY25 foreign-currency expenditure of ₹155.07cr against FY25 total materials consumed of ₹149.56cr — the two figures being close suggests a large majority of procurement is foreign-currency-denominated, though the outgo figure isn't limited to raw materials alone, so this is an inference, not an exact split. No country-of-origin breakdown was found. Given ~99% of revenue is exported and dollar-denominated, this import exposure is a partially self-hedging position, not a one-sided FX risk.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	₹897cr (implied)	FY26 ₹485.2cr × ~85% (midpoint of ~80-90% FY27 growth guidance)
PAT margin used	4.27%	Assumed — trailing FY26 actual (mgmt guided EBITDA margin only)
Shares outstanding	3.77cr	Equity capital ₹7.54cr ÷ ₹2 face value
Forward EPS	₹10.17	Revenue guidance × margin ÷ shares
Price	₹1,012	screener.in, 12 Jul 2026
Forward PE	99.5x	Price ÷ Forward EPS
Median PE (company, historical)	Not meaningful	Listed <2 years (Dec 2024) — no source publishes a multi-year median for this stock

99.5x is arithmetic on a trailing PAT margin (4.27%) far below management's guided 17-22% EBITDA-margin range — if PAT margin expands toward that range, the effective forward multiple would be considerably lower. Current trailing PE (screener.in, 168x as of 12 Jul 2026) is materially higher still, reflecting the market pricing in this margin recovery. No peer forward-PE comparison presented — neither named peer disclosed comparable forward guidance this run.

Industry Tailwinds / Headwinds

- **Global defence spend and aerospace ramp-up (Tailwind)**: rising defence budgets, commercial aerospace production ramp-up, rapid space-ecosystem growth.
- **China-plus-one / India supply-base diversification (Tailwind)**: semiconductor-equipment expansion and supply-chain resilience driving companies to build an India base.
- **Global disinflation easing input costs (Tailwind)**: per the FY24-25 annual report's industry-outlook section, industry-wide.
- **Currency and trade-protectionism risk (Headwind)**: flagged in the same annual report section — real given Rossell's own ~99% export/import-dependent cost structure.

Competitive Positioning: Peer Comparison, Entry Barriers & Product Criticality

Company	IP / Tech Moat	Niche/Marquee Customers	Certifications	Other Differentiator
Rossell Techsys	Design-to-certification EWIS/electronics across 40 certified processes; early mover in space/semiconductor harnesses	Boeing, Amazon, Honeywell, BAE Systems, Tata Lockheed Martin Aerostructures	DPL, AS9110 MRO, Boeing ITAR Gold, IGBC	~99% export; India facility + US subsidiary (RTI)
DCX Systems	End-to-end cable/wire harness + PCBA + system integration, build-to-print	Not individually named this run	Not independently verified	~₹2,241cr market cap (smaller); order book ~₹2,984cr (larger than Rossell's ₹715cr)
Paras Defence and Space Technologies	Broader defence electronics, optics, space systems	Not individually named this run	Not independently verified	Broader product scope; market cap not confirmed this run

DCX Systems is the closest direct peer on core competency and carries a larger order book despite a smaller market cap. Paras Defence's scope is broader and less directly comparable. Entry barriers: 40 certified processes and a Boeing ITAR Gold audit rating built over a decade, multi-quarter customer-qualification cycles (the stated reason FY26 margins were lower), high-reliability manufacturing trust, and Boeing relationship depth dating to 2015. Product criticality: wiring harnesses/interconnects in military aircraft, space programs, and semiconductor equipment are safety/mission-critical — failure consequences far exceed the part's own cost.

Technical Snapshot

Metric	Value	As of
Price	₹1,012	12 Jul 2026
52-Week High	₹1,122.00	12 Jul 2026
52-Week Low	₹455.00	12 Jul 2026
Trailing Stock P/E	168x	12 Jul 2026
Moving averages (50/200-day)	Not reliably sourced this run	—
RSI	Not reliably sourced this run	—
Support / Resistance	Not reliably sourced this run	—

Source: screener.in (12 Jul 2026). The 52-week range (a ~2.5x swing) reflects the stock's short listed history and volatility since its December 2024 listing rather than a mature trading range. No moving-average/RSI/support-resistance data was reliably sourced this run — a technicals-provider check should be done on the next refresh. This section goes stale within days.

Promoter / Governance Track Record

Shareholding Pattern Trend

Quarter	Promoter %	FII %	DII %	Public %	Shareholders
Sep 2024	74.81	1.51	2.69	21.00	15,881
Dec 2024	74.81	1.47	2.42	21.31	15,347
Mar 2025	74.80	1.48	2.42	21.30	15,057
Jun 2025	74.80	1.48	2.42	21.29	15,019
Sep 2025	74.80	1.50	2.42	21.27	20,638
Dec 2025	74.80	1.50	2.77	20.93	20,454
Mar 2026	74.80	1.60	3.51	20.08	19,467

Source: screener.in, 12 Jul 2026. Promoter holding has stayed essentially flat at ~74.8% since listing, with 0% pledged — a positive governance signal, though it also means free float is thin, likely contributing to the wide 52-week trading range in Technical Snapshot above. No auditor qualification or delayed filing found in the sources reviewed.

Promoter Fund Raises

None on record as promoter-specific preferential/warrant instruments. The December 2024 IPO (via demerger) is not a promoter fund raise in the sense this section tracks. The QIP discussed on the Q4 FY26 call is a public institutional placement, not promoter-specific, and had not been completed as of the call — tracked as a Medium Term outlook item, not logged here since there's no raise yet.

Credit Rating Snapshot

No CRISIL/ICRA/CARE/India Ratings/Acuite/Brickwork rating rationale was found for Rossell Techsys in the sources searched this run — may reflect the company's short listed history and/or private banking relationships not requiring a public rating. Stated explicitly rather than silently omitted.

Legal & Litigation

The FY24-25 Annual Report's Note 30 (Contingent Liabilities and Commitments) discloses only outstanding bank guarantees of ₹0.08cr and capital commitments of ₹0.91cr — no tax disputes, customer/vendor litigation, or regulatory matters disclosed. A direct primary-source finding, not merely "nothing found in search" — though the FY25-26 annual report (not yet published) should be checked on the next refresh.

Investment Thesis Summary

- **FY26 was a genuine delivery year, not just a guided one:** revenue +87%, EBITDA +73%, PBT +165% — checkable against actual audited results.
- **Two entirely new revenue segments (space, semiconductor) moved from qualification to volume within the year,** with 300-400% further growth guided for FY27, corroborated by a named ₹400cr space contract and Amazon as a named customer.
- **The core Boeing relationship is deep and multi-decade:** award history back to 2015 and a Boeing ITAR Gold audit rating — a switching-cost moat a new entrant can't quickly replicate.

Tempering the thesis: EBITDA margin compressed slightly in FY26 despite the revenue surge, one Boeing program is explicitly loss-making in its current phase, short-term borrowings grew faster than revenue with a QIP still pending, and the company has under two years of listed trading history with no independent credit rating.

Key Risks (Red Flags / Bear Case)

- **A named Boeing program is currently loss-making:** ~₹70cr of execution remains in FY27; the margin drag isn't separately quantified from company-wide qualification spend.
- **Short-term borrowings grew faster than revenue:** +70% YoY (₹240cr→₹409cr), with a QIP intended to address this still pending as of the call — a real, near-term funding dependency.
- **EBITDA margin compressed despite record revenue growth:** 14.8%→13.7% FY25-FY26, even as management guides a return to 17-22% — the recovery hasn't shown up yet.
- **Very short listed/public trading history:** listed since December 2024, with a 52-week range spanning ₹410-₹1,122 (nearly 3x).
- **No independent credit rating found:** removes one of the usual independent, third-party checks on financial risk profile.
- **QIP execution/dilution risk:** timing and pricing of the planned ~7-10%-of-market-cap raise weren't disclosed as of the call.
- **Raw-material import/FX exposure:** a large share of raw-material cost appears foreign-currency-denominated — partially natural-hedged against export revenue, but still a real exposure.

Verdict

Rossell Techsys is a young, high-growth aerospace/defence/space electronics story with real FY26 delivery behind it, not just a forward pitch — 87% revenue growth, entry into two brand-new segments that moved from qualification to volume within the year, and multi-decade-deep relationships with Boeing and other global primes. The single biggest open questions are whether the guided EBITDA margin recovery (13.7%→17-22%) actually materializes in FY27, and whether the pending QIP closes on reasonable terms given short-term borrowings have been growing faster than revenue. Confidence level: **genuinely evidenced growth, but still an early-stage story on margins, balance-sheet strength, and public trading history.**

Sources

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2. **Q4 FY26 Earnings Call Transcript (12 May 2026)** — All outlook bullets, order book detail, guidance quotes, competitive/entry-barrier commentary
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3. **Rossell Techsys Annual Report FY2024-25** — Contingent liabilities, foreign exchange earnings/outgo
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5. **WebSearch aggregation of live-quote providers** — Price, market cap, 52-week range, 2-3 Jul 2026
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